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US Market Thematics – Specialist Sales Commentary

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JPM | US MACRO THEMATICS - Market vs. “The House” : Brent Breaks / Bessent Bluffs / AI Wins

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US Thematics focuses on key macro views, market debates, and favored investment themes.

Brent’s third push above \$100 is harder to dismiss as a blip. The psychological breach reflects a deteriorating energy backdrop. Supply-side stress is converging: escalating infrastructure attacks, Hormuz insurance costs spiking, Chinese demand re-engaging, and escalatory Iranian rhetoric feeding risk premium into global bonds.

JPM Oil Strategy’s fundamental view stays more contained than the tape’s fear. Investors are resetting from a “deal-in-months” timeline toward “what if this runs through 2027?” as the administration’s red lines hold and post-gasoline-season pressure eases.

A two-part US bond session was the most interesting market tell: Europe led the global yield rise as the epicenter of war exposure while US investors waited patiently for the Treasury Buyback announcement. The \$6B figure disappointed a market positioned for \$10B+, sparking curve steepening. With the event-risk in the rearview, the 10Y UST auction drew the strongest demand in a decade.

Marissa’s Musings: What stood out most in macro today was the sequencing between the 11am buyback release and the 1pm auction. It was a clean illustration of the market deliberately holding fire for Bessent before committing to a direction.

Equity leadership is narrowing again driven by rates and oil: Equity concentration is re-asserting (SPY/RSP on the upswing), with AI bottlenecks acting as a secular hedge amid the chaos while “everything else” suffers

Brent Above \$100 (?)

Everything in Wednesday’s session tied back to a single development: prompt Brent futures moved above \$100. While there is no *fundamental regime shift* that comes with the breach of this precise number, the *psychological level* acted as a manifestation of a deteriorating energy backdrop. Notably, this is the *third* push toward these levels since the start of the US-Iran conflict, making it increasingly difficult to dismiss prior surges as “blips.” **The timing matters more now than at the conflict’s outset because reserves are now less ample.** Stocks in the US SPR currently sit at 285 million barrels. This compares to >700 million barrels at the start of the Russia/Ukraine conflict, leaving far less cushion against a proximate floor of 200 million barrels.

While reserves have been dwindling for a while, the recent convergence of several supply-side stress points are becoming increasingly difficult to ignore. Energy-infrastructure attacks are escalating globally (US strikes on 5 Iranian oil tankers, Iran’s claimed retaliation on 10 vessels, and a Ukrainian drone strike on Russia’s Novorossiysk terminal). Meanwhile, transit and insurance frictions are rising in parallel as Hormuz insurance costs are spiking to as much as 10% of cargo value and lifting the

delivered cost of crude. **Chinese demand remains the wildcard as their pullback blunted the earlier wartime oil rise.** There have so far been conflicting reports on their activity (increasing demand, but also cutting refinery runs), but **JPM Oil Strategy sees them dipping back into the market. For size, imports troughed at 5.5 million and are now back at 7.7–8 million as per our estimates (vs a usual run-rate of 11-12mln bpd). In other words, still well off prior patterns but clearly re-engaged.** Escalatory rhetoric from Iran (the war is “existential,” Iran is “ready for more intense war,” and “will escalate strikes”) has only reinforced risk premium, applying pressure on global bonds.

Oil Market View: Market Fear vs. the Fundamental Path

The original timeline that most energy investors were expecting has not played out. **At the war’s start, the expectation was a deal within a few months, flows resuming about two months later, and a large surplus roughly three months out.** Instead, clients are now resetting expectations and asking a different question... *what if this never ends and runs through 2027?* The main driver of that shift is that the administration’s red lines have not been crossed, leaving it in a much better position to hold out. With peak gasoline season (Memorial Day to Labor Day) in the rearview, there is less pressure on the administration than there was in May despite gas prices sitting at record highs adjusted for seasonality. **The key question investors have is “what will trigger a deal?” and the lack of ability to answer that question is what the market is currently pricing.**

Set against the tape’s anxiety around the \$100 threshold, JPM Oil Strategy’s fundamental view is notably more contained. The duration of the conflict has extended well beyond what was penciled in back in May, but the original thesis has not changed: crude prices should stay contained relative to the scale of the disruption, with the rebalancing happening on the product side through substantially wider cracks. The current price path averages roughly \$87 for Q3 and \$93 for Q4, with an \$80 target for Q4 2027. JPM’s forecast technically assumes an agreement is reached in June, but an agreement is largely irrelevant as long as oil keeps flowing, which it appears to be.

While surging diesel prices remain a pressure point with inventories at record lows and cracks at record highs, the feed-through from diesel into headline CPI is small and corporates tend to ingest most of consumers’ negative sentiment (*if Amazon raises delivery prices, consumers blame Amazon rather than the oil complex*).

The US vs European Yield Divergence

Europe led the global yield rise overnight as EGB and Gilt yields pressed higher, *consistent with the region being most exposed to war escalation.* Gilts in particular faced a heavy confluence of additional drivers: a sovereign bond sale that yielded the highest UK borrowing cost since 1998, compounding corporate issuance (AMZN, UBER), and messy domestic politics.

US yields were comparatively contained overnight ahead of the Treasury buyback announcement at 11am. Why? *Bessent had postured for a big announcement with pointedly aggressive comments (“I am the house” / “Whenever people say, ‘oh, well, Treasury Secretary is taking a risk,’ - well, it’s my dream, I have asymmetric information”).*

UST Movement: Clearly Waiting on Bessent...

TREASURY BUYBACK ANNOUNCEMENT (Negative Bonds)

At 11am EST, Treasury announced it will buy back **up to \$6B** of longer dated government debt in the first operation under an expanded buybacks program. This was a step up from both the amount initially communicated to investors of \$2bln, and the upsized guidance of “at least double” in the surprise announcement made August 19... *so why did the market react so poorly?*

Marissa’s Math: The prior buyback was \$2B, and guidance of “at least double” implied roughly \$4B, but the market had built up expectations of a much larger boost, with figures of \$10B+ floated. Against those hopes, the \$6B outcome read as an undershoot, prompting an initial kneejerk curve steepening and an erasure of long-end swap-spread gains. **The expectation overshoot was itself partly a function of Bessent’s “I am the house” posturing, as the market is currently wary of Treasury action even absent concrete signals.**

10-Year UST Future (TYZ6)



10Y UST AUCTION (Supportive Bonds)

The \$39bln 10y notes auctioned off at 1pm EST was met with the strongest 10y demand in a decade. The setup ahead of the supply worked in the auction's favor as 10s had cheapened ahead after Bessent's buyback letdown and a heavy IG supply wave from the morning already absorbed. This provided a floor for US Treasuries into the close.

Marissa's Musings: What stood out most in macro today was the sequencing between the 11am buyback release and the 1pm auction. It was a clean illustration of the market deliberately holding fire for Bessent before committing to a direction. *Given the oil move and the heavy IG issuance, yields arguably should have been meaningfully higher overnight, yet the market chose to wait.*

There is one last wave of UST supply to look out for: The US Treasury will offer \$22bln of 30-year bonds Thursday at 1pm EST

Equities: Rotation Under a Concentrated Tape

Europe's clear underperformance in global equities today reflects its position at the epicenter of both the yield rise and war exposure, yet the nuance developing within US markets deserves equal attention. Concentration is re-asserting itself as leadership is again narrowing. The SPY/RSP trend gives a clue...

SPY/RSP Ratio on the upswing...

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US Specialist Sales
09 September 2026

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What's going on? AI bottlenecks are once again functioning as a *secular hedge* amidst the chaos while 'everything else' suffers. While Astra's release in itself provided a catalyst, CFO's Sara Friar's claim at the GS Tech Conference that OpenAI's is 'really short' on computing power and projects ~\$750bln in compute spend through 2030 is providing ample firepower for optimism. Here's a powerful quote from TMT specialist Mark Schilsky to give an idea of sentiment "‘AI agents are going to kill Internet’ was a common refrain I heard from many investors earlier this year, but that rhetoric has been whisper quiet the past few months – until now.”

Marissa's Musings: The shift of investment patterns amidst the Middle-East conflict escalation appears *no coincidence*. An intra-tech rotation is being *driven* by rates and oil. Most plainly stated, money flowing into AI is coming *out* of software, as interest rate jitters are pushing investors towards less interest-rate-sensitive companies with more durable cashflows.

- Marissa

CTA levels

Source: JPM Research Delta-One Flows & Positioning - Updated: 9/09/2026

Americas	Ticker	Current	Prior Week CTA Signal	Current CTA Levels							CTA Signal
				1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	
S&P 500	ES1 Index	7,714	Long	7,764 -0.6%	7,362 4.8%	6,789 13.6%	6,506 18.6%	7,622 1.2%	7,502 2.8%	7,168 7.6%	Long
Nasdaq 100	NQ1 Index	29,654	Long	29,687 -0.1%	29,042 2.1%	24,986 18.7%	23,786 24.7%	29,370 1.0%	29,150 1.7%	27,142 9.3%	Long
Russell 2000	RTY1 Index	2,973	Long	3,025 -1.7%	2,856 4.1%	2,550 16.6%	2,392 24.3%	2,998 -0.9%	2,932 1.4%	2,754 7.9%	Long

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				Current CTA Levels							
Americas	Ticker	Current	Prior Week CTA Signal	1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	CTA Signal
2y UST	TU2 Comdty	102.6	Short	102.8 -0.2%	103.1 -0.5%	103.9 -1.3%	104.4 -1.8%	102.8 -0.2%	103.1 -0.5%	103.7 -1.0%	Short
5y UST	FV2 Comdty	105.6	Short	106.2 -0.6%	106.9 -1.2%	108.6 -2.8%	109.9 -3.9%	106.3 -0.7%	106.8 -1.2%	107.9 -2.2%	Short
10y UST	TY2 Comdty	107.5	Short	108.2 -0.6%	109.4 -1.7%	111.6 -3.6%	113.5 -5.3%	108.5 -0.9%	109.2 -1.5%	110.6 -2.8%	Short
UST Ultra 10y Note	UXY2 Comdty	109.3	Short	109.9 -0.5%	111.7 -2.1%	114.0 -4.1%	116.1 -5.8%	110.5 -1.0%	111.3 -1.8%	112.9 -3.2%	Short
UST Long Bond	US2 Comdty	109.0	Short	108.5 0.4%	112.2 -2.9%	114.2 -4.6%	117.6 -7.3%	109.8 -0.7%	111.1 -1.9%	113.2 -3.7%	Short
UST Ultra Bond	WN2 Comdty	110.6	Short	110.0 0.5%	114.6 -3.6%	116.9 -5.4%	121.1 -8.7%	111.6 -0.9%	113.2 -2.3%	115.6 -4.4%	Short
Canada 10y	CN2 Comdty	117.0	Short	117.5 -0.5%	120.2 -2.7%	119.4 -2.1%	122.4 -4.4%	118.3 -1.1%	118.9 -1.7%	119.8 -2.4%	Short

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